

Week ending: 01st October 2021

Weekly Fixed Income Note

Key Highlights:

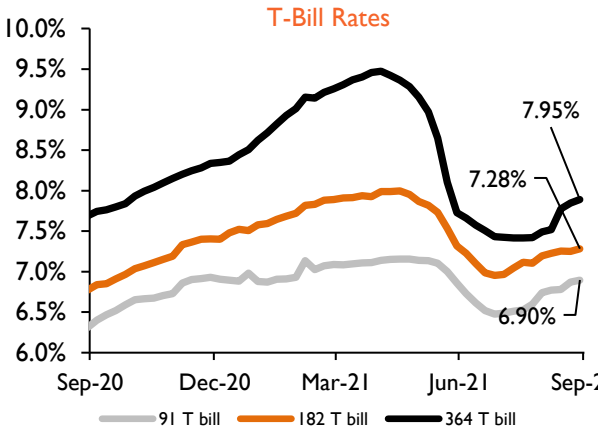
- T-bills remained undersubscribed for the sixth week running with the overall subscription rate marginally decreasing to **42.22%** compared to the **42.33%** recorded last week. We partly attribute the undersubscription to investors eyeing the primary bond issue coupled with the tightened liquidity in the market. 91-day paper recorded the highest subscription at **66.00%**, with the 364-day paper recording the lowest at **21.55%.** With the current fiscal year borrowing being **65.18%** ahead of the prorated target, the CBK continued to reject aggressive bids by accepting **94.92%** of the **KES 10.13 Bn** worth of bids received. The yield on the 91 and 182-day papers remained unchanged at **6.90%** and **7.28%,** respectively, while the 364-day paper maintained the upward momentum edging up by **5.9 bps** to **7.95%**.
- The central bank is looking to raise **KES 60.00 Bn** for budgetary support by reopening three bonds, **FXD1/2013/15, FXD3/2019/15 and FXD1/2021/25.** The bonds will attract coupon rates of **11.25%, 12.34%** and **13.92%** and are currently trading at yields of **11.73%, 12.76%** and **13.50%,** respectively. We have provided a guide on the recommended bidding range in our primary auction note, view by clicking here.
- In the secondary market, the value of bonds traded decreased by **42.50%** to **KES 23.71 Bn** from **KES 41.02 Bn** recorded last week, as investors eye the upcoming primary bond issue. On a year-to-date basis the Yield Curve has readjusted upwards in the mid range but held steady in the short and long end of the curve. FTSE Bond index closed the week at **96.85** taking the YTD loss to **1.19%.**

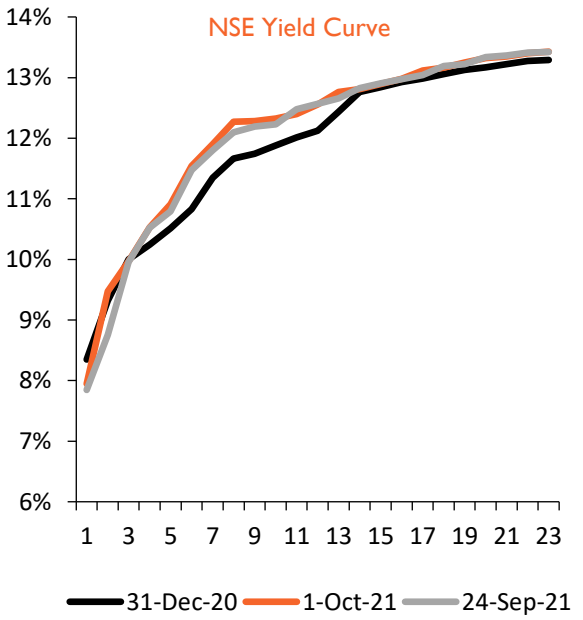
We expect activity in the secondary bond market to cool off, in the coming week, owing to the tightened liquidity and the concurrent primary bond issue. Continued borrowing by the government is likely to increase upward pressure across the yield curve, in the near term.

Macroeconomic data	Current	Previous
GDP (2020 vs. 2019)	(0.30%)	5.00%
Inflation (September)	6.91%	6.57%
Private sector credit growth (August)	7.00%	6.10%
Money Supply (June)	6.30%	7.60%

Key Indicators

	Current	Previous	% Change
91- Day	6.90%	6.90%	0.00%
182-Day	7.28%	7.28%	0.00%
364-Day	7.95%	7.89%	0.05%
Interbank Rate	6.71%	6.14%	0.57%





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the dollar this past week depreciating by **0.11%** to trade at **110.49** from **110.38** at the close of last week. The shilling has depreciated by **1.21%** against the USD on a Year-To-Date basis. The CBK's usable forex reserves currently stand at **USD 9,437** million (**5.77** months of import cover), a **0.88%** week-on-week decline from **USD 9,521** million (**5.82** months of import cover) recorded last week.

We expect the local currency to remain under pressure due to the increase in global oil prices, coupled with reduced dollar inflow from key export earning sectors such as agriculture and tourism.

Liquidity

Liquidity in the money markets continued tightening, during the week, as reflected by the average interbank rate increasing to **6.71%** from **6.14%** recorded in previous week. The central Bank was in action to mop up excess liquidity by accepting Term Auction Deposits (TADs) of **KES 17.60 Bn**, with the TAD Rates touching **7.00%**.

We expect the interbank rate to remain elevated near the region of 7.00%, for the coming week, mainly driven by aggressive open market operations by the CBK, with government payments supporting inflows.

September Inflation

Headline inflation for the month of September,2021 increased to **6.91%** from **6.57%**, recorded in August. The outcome was driven by a 10.63%, 9.21% and 6.08% y/y increase in the food and alcoholic beverages, Transport and Housing Utilities indices, respectively. The non- food and fuel (Core) inflation increased marginally to 2.70% from 2.60%. On a month-on-month basis, the transport index recorded a notable 1.17% increase owing to the increased in pump prices and consequently an increase in bus fares. **Headline inflation is likely to continue increasing on the back of higher food and fuel prices but remain within the government target range of 2.5% - 7.5%. Fuel prices are expected to edge higher due to the increase in global economic activity which has exerted upward pressure on global oil demand.**

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